

2. The game would grow using the viral engine of growth and generate value using a freemium business model. The game was free to play, but the team hoped that a percentage of the players would realize that they were lousy traders and therefore want to convert to paying customers once Wealthfront started offering real asset management services (the growth hypothesis).

kaChing was a huge early success, attracting more than 450,000 gamers in its initial launch. By now, you should be suspicious of this kind of vanity metric. Many less disciplined companies would have celebrated that success and felt their future was secure, but Wealthfront had identified its assumptions clearly and was able to think more rigorously. By the time Wealthfront was ready to launch its paid financial product, only seven amateur managers had qualified as worthy of managing other people's money, far less than the ideal model had anticipated. After the paid product launched, they were able to measure the conversion rate of gamers into paying customers. Here too the numbers were discouraging: the conversion rate was close to zero. Their model had predicted that hundreds of customers would sign up, but only fourteen did.

The team worked valiantly to find ways to improve the product, but none showed any particular promise. It was time for a pivot or persevere meeting.

If the data we have discussed so far was all that was available at that critical meeting, Wealthfront would have been in trouble. They would have known that their current strategy wasn't working but not what to do to fix it. That is why it was critical that they followed the recommendation earlier in this chapter to investigate alternative possibilities. In this case, Wealthfront had pursued two important lines of inquiry.

The first was a series of conversations with professional money managers, beginning with John Powers, the head of Stanford University's endowment, who reacted surprisingly positively. Wealthfront's strategy was premised on the assumption that professional money managers would be reluctant to join the system